MYANMAR IN THE INTERNATIONAL REALM

Japan was one of the initial countries to break the ice with Myanmar, normalizing relations in February 1989. Joint business ventures emerged in the early 1990s between the government and nearly a dozen Japanese firms. The Japanese government wanted companies to take a cautious approach in dealing with the junta because of potential Western pressure over the horrendous human rights record and potential negative public relations that could be generated. A split in Japanese policy toward Myanmar developed. The more pro-business sector of the economy wanted an open door to Myanmar and the ability to do business without constraints. The foreign policy faction within the Japanese government wanted to use aid and economic policy to help promote democracy and more constructive human rights efforts. The Japanese government made multiple public statements of support to Aung San Suu Kyi, frustrating SLORC at times. However, much of Myanmar's debt was owed to the Japanese government, tempering the harsh rhetoric against the junta.

Initially Thailand, a historic enemy of Myanmar, offered help. The Thais were interested in logging and fishing rights in Myanmar. With the largest supply of teak in the world and no environmental regulation, Myanmar was the perfect partner for Thai firms, which worked closely with the military. Within the first few years, 47 companies would be involved in the logging exploitation in Myanmar. This mutually beneficial deal with Thailand devastated the ethnic insurgencies on the Thai border. The Karen and Mon fighters had been involved in the timber extraction to help finance their movements. The Thai military had no reason to give refuge to the exiles fleeing Myanmar. At times, the relationship between the Thai government and the military complicated the relationship with Myanmar. The situation remained tense with a continued lack of trust between the governments. Border skirmishes occurred between the tatmadaw and Thai military on several occasions. Thailand actually leveled harsh criticisms against the junta at the time of Myanmar's admission into the ASEAN in 1997. Still, most foreign policy experts in Thailand concluded that having a policy of “constructive engagement” with Myanmar was the pragmatic choice in a post–Cold War where counterbalancing Chinese regional influence was of paramount importance.